Regulation & Governance

Regulation & Governance **(2011) 5, 221–240** doi:10.1111/j.1748-5991.2010.01093.x

Playing games of governance: How and why Fair Trade pioneers evade corporate capture

Anna Hutchens

The Regulatory Institutions Network (RegNet), The Australian National University (ANU), Canberra, Australia

Abstract

The concept of power in political governance has traditionally focused on domination and the preservation of the status quo. In an economic context, institutional and organizational studies have expressed growing interest in the dynamics of agency and institutional change, captured in the concept of "institutional entrepreneurship." In the context of global free trade, the Fair Trade movement's experience shows that ongoing institutional entrepreneurship is important for entrepreneurs to transcend absorption by corporate hegemony. In this article I examine the capacity for agency in market institutions through the lens of "defiance" to illuminate the imaginative "game players" who evade institutional capture in the evolution of market governance.

Keywords: defiance, Fair Trade, game playing, power.

1. Introduction

The concept of power in political governance has traditionally focused on domination and the preservation of the status quo. In an economic context, institutional and organizational studies have expressed growing interest in the dynamics of agency and institutional change, captured in the concept of "institutional entrepreneurship." In the context of global free trade, the Fair Trade movement's experience shows that ongoing institutional entrepreneurship is important for entrepreneurs to transcend absorption by corporate hegemony (Hutchens 2009). In this article I examine the capacity for agency in market institutions through the lens of "defiance" – the psychology of defying institutional and structural constraints (Braithwaite 2009) – to illuminate the imaginative "game players" who evade institutional capture in the evolution of market governance.

A defiance orientation to the actor is distinct from organizational and institutional thinking on the actor in institutional settings (see for example Oliver 1991). It enables a view of concrete examples of different expressions of entrepreneurship that are "embedded" and their different institutional effects. Institutional entrepreneurship is the term given to these actors who "contribute to the genesis of new institutions in which they see an opportunity to realize interests that they value highly" (DiMaggio cited in Leca *et al.* 2008, p. 3). Reconceptualizing institutional entrepreneurship as defiance, I elaborate two categories (or "postures") of defiance – "resistance" and "game playing" – in the complex

Correspondence: Anna Hutchens, The Regulatory Institutions Network (RegNet), The Australian National University (ANU), Coombs Extension Building No. 8, corner Garran Road and Liversidge Street, Canberra, ACT 0200, Australia. Email: anna.hutchens@anu.edu.au

Accepted for publication 7 October 2010.

© 2010 Blackwell Publishing Asia Pty Ltd

institutional setting of the Fair Trade industry (Hutchens 2009). Resistance embodies "outspoken opposition to the way in which an authority uses its powers" and a desire to "be heard" and for "the system to change for the better." Game playing represents "a more imaginative and bold practice for escaping regulatory constraint by moving around or redefining the rules."

The Fair Trade industry, which has attempted to change the fortune of developing country producers in the global trading system in a way that global trading institutions have failed to do, is a particularly apposite field of study to explore these two postures in the process of institutional change. While the movement *as a whole* has struggled "in and against" the global free market to create a fairer global trading system for developing country small-scale producers, it is nevertheless complex: different movement actors perceive and interpret the Fair Trade mission in different ways, embodied in different systems and strategies to realize their vision(s) for change. The systems and strategies adopted by its "resisters" are pragmatic and regulatory while those among its game players are more ambitious and politically transformative. This empirical analysis takes an interest in game playing as it reveals the ongoing possibility and logic of institutional change in the governance of global markets.

2. Defiance

According to Braithwaite (2009, p. 26), defiance is "a signal that individuals express attitudinally or behaviourally towards an authority (and, shared with others) that communicates unwillingness to follow the authority's prescribed path without question or protest." Braithwaite (2009, p. 29) views defiance as a necessary response when "institutions cease to serve citizens well or dominate their lives to the point where they cause distress and destruction" in that it enables them to "forg[e] a path to institutional change." Recognizing social institutions as both enabling and constraining, Braithwaite explores how individuals move to preserve their freedom in the context of institutional constraint by creating some degree of "distance" between themselves and the regulatory body or authority. As she explains:

> . . . our humanness and our society constitute, contain and restrain us. Talents, needs, knowledge, values, norms, laws and culture regulate hopes and expectations, determine access to resources and constrain behavioural possibilities . . . In these ways, our physical, psychological and social infrastructures temper our ability to exercise freedom. And yet, as individuals, we never lose sight of freedom or the desire to find opportunities to escape constraint. (Braithwaite 2009, p. 33)

The degree of distance individuals seek to put between themselves and the regulatory code differs from person to person and is dynamic, and the modes of distancing are creative:

> [e]xpressions of defiance are wide-ranging and constantly in creation, most obvious in overt oppositional actions to discredit or undermine regulatory authority and practice. Contexts of defiant expression extend from war, protest, mutiny, strike and social movements at the collective level to acts of criminality, deviance, genius, eccentricity and mischief-making at the individual level. (Braithwaite 2009, p. 34)

 © 2010 Blackwell Publishing Asia Pty Ltd

As a path-breaking set of ideas and activities that diverges from existing norms and practices, entrepreneurship could be considered as a type or expression of defiance against market norms and institutions (Hutchens 2009; see below).

To capture or concretize these degrees of distance, Braithwaite develops distinct categories of defiance that she calls "motivational postures." Motivational postures embody

> . . . sets of beliefs and attitudes that sum up how individuals feel about and wish to position themselves in relation to another social entity . . . Postures are subjective – they bind together the cognitive, emotional and behavioural components of attitude. They provide the narrative within which the authority's message is given meaning. They have coherence for the self and are socially acceptable to significant others. (Braithwaite 2009, p. 20)

In her research on the Australian taxation system, Braithwaite (2009, p. 39) identifies the following motivational postures.

1. *Commitment* to the system represents the degree to which individuals knowingly and willingly embrace the mission of the regulatory institution.
2. Similarly common is *capitulation* to the standards imposed by the regulatory authority, without necessarily engaging with the regulatory code or its purpose.
3. *Resistance* involves outspoken opposition to the way in which an authority uses its powers. Those who resist want to be heard, and they want the system to change for the better.
4. Individuals who *disengage* from or "game" authority appear to be stepping outside or transcending the constraints of the regulatory institution. Disengagement entails psychological dissociation from authority.
5. *Game playing* represents a more imaginative and bold practice for escaping regulatory constraint by moving around or redefining the rules. This response involves keen engagement with the regulatory code, analyzing the system that administers it with disarming acuity and clarity of purpose, and using the code to dismantle or change the meaning of regulations.

To the extent that each of these postures is motivated by the desire for a degree of freedom or agency from regulatory constraints, this schema illuminates *diversity* in the phenomenon of agency in institutional settings that tends to be lacking in the literature on institutional entrepreneurship. It is able to recognize such diversity arguably because it is more comfortable with the notion of agency in institutional settings than is the case in the study of institutional entrepreneurship. While institutional entrepreneurship refers to organised actors with sufficient resources to contribute to the genesis of new institutions in which they see 'an opportunity to realize interests that they value highly' (DiMaggio cited in Leca *et al.* 2008, p. 3), this phenomenon presents a "paradox" to neo-institutionalists because it implies that individuals are "somehow able to disengage from their social context and act to change it" (Leca *et al.* 2008, p. 4).

The ideas of Bandura (1989) and political scientists Bevir and Rhodes (2005) on agency have been influential in Braithwaite's framework. Bandura (1989) for instance includes "self-generated" influences among the contributing factors or drivers of individual action, highlighting that individuals influence themselves as much as they influence their envi-

© 2010 Blackwell Publishing Asia Pty Ltd

ronment (Bandura 1989, pp. 1, 181). In this way he imparts the capacity for *self-reflexivity*, which does not discount external constraints but does open up conceptual space for actors to "generate novel ideas and innovative actions that transcend their past experiences."

Along similar lines, Bevir and Rhodes (2005) develop the notion of "situated agency." Whereas "*autonomous* individuals" are typically endowed with a capacity to "have experiences, reason, adopt beliefs and act, outside all contexts," "*agents*" by contrast are capable of "reason[ing] and act[ing] in novel ways, although they can do so only against the background of the contexts that influence them." Premised on this distinction between autonomy and agency, the concept of situated agency makes it possible to accept the influence of structures *at the same time as* the individual capacity to act purposively. That is, rejecting autonomy does not presuppose rejecting agency (Bevir & Rhodes 2005, pp. 4–5).

On top of these theoretical foundations, Braithwaite's framework of defiance goes on to offer concrete examples of *different* psychological dispositions individuals adopt to engage with institutions which are creative and thoughtful. To the extent that defiance provides us with the conceptual tools to capture these diverse and complex expressions of institutional agency, it can offer a framework for thinking about institutional entrepreneurship in a way that moves us past the paradox of embedded agency; social actors, while deeply embedded in social narratives, reflect and act on themselves and their environment in novel and creative ways in an attempt to reconcile or remove the constraints of social institutions on their lives.[1]

3. Defiance as institutional entrepreneurship: Resistance and game playing

One of the important contributions of defiance is that it highlights that, when seeking change, social actors engage in different ways with, and provoke different responses from, institutions (Braithwaite 2009). The analytical framework for posturing that illuminates these discrete responses derives from large Australian empirical studies of the sociology of the regulation of taxation (Braithwaite 2009). In the context of the Fair Trade industry and its regulatory institutions, two postures – resistance and game playing – have been central to the emergence, growth, diversification, and consolidation of the industry (Hutchens 2007).

In Braithwaite's (2009) research, resistance embodies "outspoken opposition to the way in which an authority uses its powers." Resisters "want to be heard" and "want the system to change for the better." Resisters challenge regulations and regulatory administrators but not with new norms or rules. Rather, resisters work to inject the new ideas of others into the system, "yielding" to the norms and constraints imposed by the existing order. As Braithwaite *et al.* (2007, p. 292) describe, "resisters often lose the argument and succumb to become a compliant citizen of the regulatory order over time." By contrast, game playing represents "a more imaginative and bold practice for escaping regulatory constraint by moving around or redefining the rules." Gaming involves "keen engagement with the regulatory code, analysing the system that administers it with disarming acuity and clarity of purpose, and using the code to dismantle or change the meaning of regulations" (Braithwaite 2009, p. 39). Game players innovate where there is an absence of recognition of authority: they think "outside the box" rather than acknowledge the confines of convention. The game player is a creative and visionary individual seeking transformation of his or her regulatory environment.

 © 2010 Blackwell Publishing Asia Pty Ltd

In my empirical investigations of the Fair Trade industry (2007, 2009), the game player exhibits qualities of Schumpeter's entrepreneur, who is "rendered by the notion of a creative, convention-defying individual entrepreneur, making innovative decisions . . . in the face of a hostile or at the least a passively resistant, environment" (Cauthorn 1989, p. 15). While the entrepreneurial game player is more bold and imaginative in thinking and practice than resisters, and responsible for creating new or alternative institutions and structures, he or she *coexists* with resisters in the emergence and expansion of alternative institutions. In the Fair Trade industry, I found Braithwaite's resisters to bear a striking similarity to John Braithwaite's (1994) "model mercenaries" who, located in market institutions, engage in the "emancipatory" process of model diffusion by transporting more radical models (of others) from the periphery and institutionalizing them in the center. According to Braithwaite, the role of model mercenaries is to "do the hard sell" and "execute model implementation" and then seek to "cash in" on the propagation of the model; model mercenaries turn game players' peripheral "toe-holds" into "footholds."

As Val Braithwaite observes in her notion of resistance, resisters pursue change by seeking to work with institutional actors to make the system work better. However, the process of collaboration with institutional actors makes resisters vulnerable to institutional "capture" (Ayres & Braithwaite 1992), or very loosely, a type of compromised relationship.[2] By contrast with resistance, game players ignore and transcend existing regulatory codes, inventing new rules and institutions in order to radically transform the prevailing system. They can never be captured or succumb to isomorphic pressure. Rather, when resistance becomes benign, game players re-innovate as an attempt to bring about more disruptive institutional and structural change.

Their interwoven nature aside, the distinct and dynamic actions and mentalities of resistance and game playing can be seen to reflect different degrees of agency within their institutional environment. Resistance is more conservative while game playing is a more radical orientation. These different forms of institutional engagement in turn trigger different institutional impacts: while Braithwaite has indicated that resistance has a relatively conservative or conformist trajectory over time, game playing involves a more innovative response over time – game players not only *reject* norms and institutional structures but engage in the *creation* of new structures liberated from their institutional moorings. In this way, game playing holds the evolutionary potential for agency of self and others through the creation and recreation of new structures and institutions (Hutchens 2009).

It should be noted that resistance and game playing are not binary positions; there is fluidity and murkiness to the two conceptual categories. In fact, individuals can engage in both postures at different times. While other authors have attempted similar analytical categorizations in the Fair Trade context (see for example Fridell *et al.* 2008), these are relatively superficial compared to the more theoretical framework presented here. In the following section I illustrate these more elaborated postures and their institutional dynamics in the emergence and evolution of the Fair Trade industry before turning to consider the implications for the study of institutional entrepreneurship.

4. Defiance in context: The case of the Fair Trade industry

The Fair Trade industry is a particularly apposite field of study to explore defiance as institutional entrepreneurship in the process of institutional change. Since the mid-

© 2010 Blackwell Publishing Asia Pty Ltd

twentieth century, the Fair Trade movement has struggled "in and against" the dominant capitalist market institution to create an international trading system in which small-scale producers in developing countries are empowered and treated with respect (Barratt Brown 1993). This has been a grand ambition in the face of the highly impenetrable institutional system in which the global agricultural industry has operated for decades (see below). While the movement operates "in" the market to trigger its transformation, the Fair Trade market is complex: different movement actors perceive and interpret the Fair Trade mission in different ways that have become embodied in different systems and strategies to realize their vision(s) for change (see Low & Davenport 2006; Fridell 2009; Hutchens 2009).

On the one hand is the more radical agenda of the movement's pioneers to transform the market with an expansive set of Fair Trade principles for market and business conduct. These entrepreneurs or "institutional redesigners" are pursuing transformative change to redistribute market power and value in the hands of small-scale producers. They continue to create and explore the potential of different models to do so – most recently a producer co-owned Fair Trade brand company model was developed, which aims to radically challenge the Northern ownership structure of international brands.

On the other hand is a more pragmatic vision of Fair Trade, embodied in the "Fairtrade" product certification and labeling system and overseen by the Fairtrade Labelling Organizations International (FLO) and its national Labelling Initiatives (LIs). FLO and the LIs seek to work with, and promote this system among, large-scale companies to provide "mainstream" market access to producers on more limited terms of "Fairtrade." Unlike the movement's institutional redesigners, who are seeking to make market power relations work in a better or different way, these actors in the movement are its "market pragmatists," who attempt a less ambitious and more compromised goal of seeking to get a slightly higher price return for small farmers. As respondents described:

> . . . it's not all about volume and signing up more MNCs, there's something else. Signing up more companies doesn't address ideological issues . . . FLO needs to push companies not just to address the price issue, but fundamental issues of inequality in the supply chain . . . that's tough because it's easy to ask a company to write a cheque, but to hand over power – I think that's where the challenge lies. (Anon. 2005, unpublished data)

> . . . the next horizon of Fair Trade is . . . with the issue of ownership. Because for cocoa farmers . . . the dollar value of cocoa in a bar of chocolate that costs $1 is about *eight cents*. So you can be paying a cocoa grower a fair wage [under the FLO system] . . . but [the producer] is not actually able to capture the value . . . because all the value happens further down the supply chain – it's in the brand. So [Fair Trade] companies like [Divine Chocolate] is one third owned by farmers that grow it. So they get the value from the Fairtrade premium, [but also] get the value of the *brand*. (Anon. 2005, unpublished data)

These competing narratives and the discrete systems for change in which they are embodied provoke ongoing debate about the scope and nature of change between these different movement entrepreneurs: Is it possible to transform the dominant market system? Is it necessary in order to empower small producers? How should it be done? Do the means chosen affect the ends realized? The case study below highlights the different

 © 2010 Blackwell Publishing Asia Pty Ltd

degrees of change offered by these different models pursued by the two sets of institutional entrepreneurs in the Fair Trade industry: the pioneers, and FLO and the LIs. The pioneers are entrepreneurs who challenge the dominant players in the market with a form of dismissive defiance that takes shape in alternative principles, power structures, and goals for market activity. The contrasting entrepreneurship expressed by FLO and the LIs does not challenge the dominance of the prevailing market system by setting up conflicting principles, political dynamics, or goals. Rather it seeks to deliver greater equity to producers by redistributing a marginally higher return to producer organizations. It is this complex case of institutional change and agency to which the article now turns.

5. Method

The data that informed this analysis derive from empirical research collected as part of a research project on the globalization of the Fair Trade movement (Hutchens 2007, 2009). The data were collected during April–May and June–July in 2005, and included more than 60 semi-structured interviews (primarily face-to-face and several by phone) with Fair Trade practitioners. Respondents were selected in a snowball fashion, starting with a network of academic colleagues who had links to practitioners within the Fair Trade industry. Subsequent respondents were identified and referred to by those initial interviewees. This approach to recruitment was informed by the methodological idea of selecting participants for their "competence" or expertise not their "representativeness" to help gain insight into a dense (regulatory) "culture" about which little is known. The notion of investigating *regulatory* fields as anthropological cultures derives from Braithwaite and Drahos' (2000) study of global business regulation in which they perceived themselves as anthropologists and ethnographers of rich "cultures" or communities of global regulation. Recognizing the explanatory limits of micro-micro and macro-macro methods, the authors adopted a micro analysis (of individual perceptions) of macro events (global regulation) to build a micro-macro theory of regulatory globalization. Data collection for my project followed this method. Referrals were obtained to staff from the international "Fairtrade" product certification body, the FLO and various LIs in Europe and the US, Fair Trade Organizations (FTOs), specialty and "mainstream" coffee companies, and producer representatives in Mexico.

Different "cultures" within the movement were identified as were their roles in informing the development of the international systems. The interaction between these cultures and systems was examined in the case of the coffee industry/market in which the strategy of "mainstreaming" Fairtrade products (inserting Fairtrade-labeled products into mainstream distribution channels) was first attempted. To clarify industry terminology, "Fair Trade" (written as two words) refers to the movement and the philosophy whereas "Fairtrade" (written as one word) refers specifically to the product certification and labeling system governed by FLO. Finally, unless otherwise indicated, respondent comments are kept anonymous and cited as fieldwork notes, in accordance with respondents' wishes.

6. Defiance in the Fair Trade industry

Since the post-World War II period, trade liberalization has been promoted with growing force via the General Agreement on Tariffs and Trade (GATT) and its successor, the World Trade Organization (WTO). Through these institutions agricultural farmers in develop-

© 2010 Blackwell Publishing Asia Pty Ltd

ing countries have, for decades now, struggled to gain access to Western markets due to barriers such as tariffs and tariff escalation, non-tariff barriers (e.g. import quotas, seasonal import restrictions, rules of origin), product standards, and anti-dumping measures (Oxfam International 2002, pp. 104–105); by critical accounts, the GATT/WTO system has advanced rich-nation and corporate interests to the detriment of millions of small farmers' livelihood (Oxfam International 2002).

The GATT/WTO system has also proved deeply resistant to developing countries' efforts to reform global trade in their interests, especially reform of global agriculture.

Throughout numerous rounds of negotiations[3] and as a central cause of negotiations' collapse at the WTO Ministerial Meetings in Geneva in 2008 (*BBC News* 2008; Beattie 2008), agriculture has been the most controversial issue in the WTO system due to its critical importance to developing countries (Fergusson 2008): more than 75% of the population in developing countries lives rurally and depends on agriculture for a living. A failure to reach agreements on agriculture together with a failure on the part of wealthy countries (in particular the US and EU member countries) to honor decisions made on agricultural reform has led to a cessation of the trade negotiations (*BBC News* 2008), as a consequence of which developing countries continue to struggle to increase their share of global agriculture.

Deeper restructuring processes, including de-industrialization and Northern market concentration, have also thwarted developing country farmers' ability to increase their *returns* from global agricultural trade. The real price of primary commodities has declined alongside an exponential rise in the value of intangible assets such as branding (Gereffi 1994). In this context, developing countries have been forced on to a track of immiserizing growth – increasing their export volumes in return for less. In markets such as cocoa, producers' share of value-added has declined from 60% to 28% in the past three decades (Vorley 2003, p. 22), while chocolate prices have risen by 300% since 1980 (Robbins 2003, p. 16). The world's 14 million cocoa producers receive just US$4 billion from a market worth US$75 billion and cocoa prices have declined by 50% since 2003 (*The Economist* 2007). Brand manufacturers and increasingly retailers have gained increasing dominance and control over agricultural markets through these restructuring processes, enabling them to act as gatekeepers to producers seeking market access. In 2002 for instance, the world's 30 leading retailers accounted for 33% of global sales in contrast to 29% three years earlier (Vorley 2003, p. 28).

6.1. Background

The Fair Trade market first emerged in the mid-twentieth century in the context of the post-World War II political economy. At the time, poorer (mostly post-colonial) nations along with international institutions such as the United Nations Conference on Trade and Development (UNCTAD) were concerned with securing more equal terms of trade for the South with richer nations in the North (Fridell 2004). Influential in this context were the ideas of dependency theorists who, drawing on Prebisch's notion of "unequal exchange," saw the underdevelopment of Third World nations as a result of their status as former colonies in which they were dependent on exporting a few primary commodities to Northern markets in the hope of receiving technology and capital (Fridell 2007, p. 32). In this context, the Fair Trade movement emerged to promote "trade not aid" and to demonstrate that by changing the conditions and terms of international trade in the

 © 2010 Blackwell Publishing Asia Pty Ltd

interests of marginalized, small-scale producers and artisans in the South, they could realize economic independence and development. In the words of the movement's mission statement:

> Fair Trade is a trading partnership, based on dialogue, transparency and respect, that seeks greater equity in international trade. It contributes to sustainable development by offering better trading conditions to, and securing the rights of, marginalized producers and workers – especially in the South. Fair Trade organizations (backed by consumers) are engaged actively in supporting producers, awareness raising and in campaigning for change in the rules and practice of conventional international trade.

While a statement of the movement's overarching vision for change to the prevailing institutions of business and trade, this mission subsumes two identifiable perspectives on the movement's objective. Some argue that Fair Trade should "continue to be pure" but marginal, or "align" with large corporations and mainstream market distribution channels "and lose their soul." While proponents of this view approach Fair Trade as a mechanism to change the rules and practices of "business as usual," others are less ideologically attached to the movement's alternative distribution channels and instead see the mission of Fair Trade as "a simple extension of conventional trade" that includes "additional rules and standards" (Bezençon and Blili 2009, p. 96). These two approaches (institutional redesigners versus market pragmatists) create greater complexity to the "vision" and "operationalisation" of Fair Trade (Renard 2003; Low & Davenport 2005; Raynolds *et al.* 2007; Fridell 2009; Hutchens 2009) and manifest in two distinct types of distribution: alternative distribution channels (which were the first to emerge in the industry) and mainstream market channels (a later development) (Bezençon and Blili 2009).

The first of these approaches – the "alternative trade" organizations/distribution channels – emerged throughout the 1950s and 1960s, then more consistently in the 1970s and 1980s, across Europe, North America, and the Pacific Rim. These organizations, many from religious or charitable roots, sought to establish and expand a "parallel" trading system in which marginalized producers – of mainly craft and textile products but also of coffee, tea, and spices – could gain access to higher returns, Northern consumer markets and technologies, education and credit, and traders who would treat them with respect and educate consumers in the North about the unfair terms of international trade (Barratt Brown 1993; Tallontire 2002). These organizations subscribe to an expansive set of criteria from the World Fair Trade Organization (WFTO, formerly the International Fair Trade Association [IFAT]) – the 10 Standards for Fair Trade that FTOs must follow (WFTO 2010):

1. Creating opportunities for economically disadvantaged producers; supporting the poorest producers.
2. Transparency and accountability: dealing fairly and openly with trading partners.
3. Trading practices: long-term and direct trading partnerships, strong communication between trader and producer, immediate or timely payment to producers, interest free prepayment of at least 50 percent of total price upon request from producer.
4. Payment of a fair price: ensuring that producers receive a fair price for their products.
5. Child labor: ensuring that the UN Convention on the Rights of the Child is respected.

© 2010 Blackwell Publishing Asia Pty Ltd

6 Gender equity: providing equal pay and opportunities for women and men.
7 Working conditions: ensuring that producers are working in a healthy and safe place.
8 Capacity building: developing the skills of producers and creating opportunities for trading their products.
9 Promoting Fair Trade: telling as many people as possible about Fair Trade and informing customers where products have come from.
10 The environment: ensuring that materials used in production and packing do not damage the environment.

While these organizations enjoyed a period of growth into the 1980s among a core of ideologically committed consumers and activists, by the end of the decade, the "limits" of the alternative trade shop began to appear as growing competition began to displace the traditionally non-commercial FTOs (Littrell & Dickson 1999; Nicholls & Opal 2005; Low & Davenport 2006).

6.2. Mainstreaming Fair Trade

A second and more recent approach is a new discourse of "mainstreaming" Fair Trade. This approach advocates shifting away from "alternative" distribution networks – which offer limited markets for a small number of producers and have little impact on the wider business environment – toward mainstream commercial retail channels that offer greater market access, a larger consumer base, and the potential for a more significant number of producers to participate (Low & Davenport 2006).

In its early days, this discourse still had a "radical" or "political" underpinning (VanderHoff 2005, unpublished data). According to Audebrand and Pauchant (2009, p. 346), the initial system that materialized, a product certification and labeling system called the "Max Havelaar" coffee label in the Netherlands, included an extensive set of economic and "extra-economic" requirements along the lines of the principles espoused by the WFTO for 100% FTOs (see 10 Standards of Fair Trade Organisations above). Quite soon, however, as more and more LIs were set up across Europe and North America, the system began to change and attracted an alternative group of practitioners, several of whom brought with them an influential "market-driven" approach to Fair Trade (VanderHoff 2005, unpublished data). In 1997, these LIs created an umbrella organization, (now called) FLO. Today, FLO is the worldwide standard-setting and certification organization for labeled Fairtrade products. FLO has centralized three main responsibilities under its control: setting the international Fairtrade standards, product certification and trade auditing, and producer support services.

FLO's mission is to "connect disadvantaged producers and consumers, promote fairer trading conditions and empower producers to combat poverty, strengthen their position and take more control over their lives" (2010). Producer groups seek registration with FLO and are inspected by a FLO-trained inspector for requirements covering the producer organization and sustainable production, while trade standards and requirements are audited by FLO at the level of the exporter and importer. Requirements of traders include a price covering the cost of production; a social premium; pre-harvest credit or advance payments to assist producers; long-term contracts; and direct relationships with producers to support long-term and sustainable production and planning (Nicholls & Opal 2005).

 © 2010 Blackwell Publishing Asia Pty Ltd

To achieve its mission, FLO's national LIs promote the Fairtrade label in their respective markets, particularly to mainstream distribution channels. This focus has involved engaging large-scale commercial traders in contractual agreements as licensees of the label. As licensees, traders are obliged to commit to the above standards; in practice, the LIs audit or monitor mainly the requirement to pay the Fairtrade price and premium (Nicholls & Opal 2005, pp. 132–133). In addition to adopting a different approach to responding to conventional market institutions, FLO and the LIs also exhibit a different, more "market-oriented" objective wherein the goal of Fair Trade is less about *changing* market institutions (as the wider movement seeks to do) and more about increasing the availability of Fairtrade products in consumer markets. As a staff member from the US Labelling Initiative, TransFair USA (a leading proponent of the market-driven approach), suggested:

> . . . our attempt is not to overthrow global capitalism, but to work within the mechanisms of global capitalism, to shift its benefits to people in the countries where many of the products we consume originate. We're not anti-WTO protestors, we're not throwing rocks at Starbucks or other companies . . . we're very much working with these companies and see them as actual or potential allies and friends to work with us to develop the growth of Fair Trade and simply shift more of the benefits back to poor farmers . . . we're very business-oriented and free-market oriented, and we believe strongly that for Fair Trade to work in the United States, we have to understand the market and we have to embrace it and we have to work within the free market. (Anon. 2005, unpublished data)

FLO and the LIs thus perceive themselves to be promoting change but do so by seeking to make the existing system of redistribution work better and to the benefit small-scale developing country producers (as well as other market actors). This approach thus shies away from the movement's more radical agenda and operationalization – of seeking to "transform" existing market norms or significantly reorganize market relations – to make it more amenable to uptake by conventional market actors with whom they seek to do business. For instance, while FLO and the LIs see themselves as contributing to change, research highlights that the FLO certification system offers relatively limited change to producers' circumstances and experience in conventional markets (Moberg 2005; Shreck 2005; Renard and Pérez-Grovas 2007; Smith 2007; Raynolds 2008). One example of this limited change to conventional structures is the Fairtrade value chain on which the system is based.

In the Fairtrade value chain in the coffee market, for example, a small-scale grower receives 11% of the chain value (US$0.85), the grower cooperative 7% (US$0.41), the roaster 38% (US$2.62), advertising and marketing 14% (US$1.14), and the retailer 30% (US$2.18). In this chain, traders are required to pay producers higher-than-market prices and a social premium per pound of crop purchased, which, in order for them to do so, reduces the share of the value captured by mainly roasters and retailers in a conventional chain from 45% (US$1.95) and 33 percent (US$1.41), respectively (Nicholls & Opal 2005, p. 83).

On the one hand, the higher wage and social premium paid to farmers provide some degree of financial security, especially in the volatile markets of tropical agriculture. Also, the premiums provide for investment in community development projects such as housing, schools, roads, health clinics, and medicines. On the other hand, producers'

© 2010 Blackwell Publishing Asia Pty Ltd

remuneration and position in the chain remain tied to the production of raw commodities. Although the price and premium may make for a relatively higher wage for producers,[4] they nevertheless remain a very low share of the *overall* value within the chain – as the figures above indicate, 11% for the grower compared with 38% for the roaster and 30% for the retailer. For this reason, Wilkinson and Mascarenhas (2007, pp. 129–30) have questioned the extent to which the Fairtrade value chain can achieve the broader Fair Trade mission given it maintains "colonial-based practices of simply exporting raw material" rather than increasing producers' technical and marketing knowledge to strengthen their position in the market.

Other examples of FLO's limited effect on market institutions come from research that suggests that FLO and the LIs have demanded relatively minimal changes in the practices of large traders who seek to become licensees of the label. Historically significant principles of Fair Trade, such as market access for marginalized and small-scale producers, direct and long-term trader–producer relations, or investment in producer capacity building, are in limited evidence in the FLO system (Bezençon & Blili 2006; Renard and Pérez-Grovas 2007; Raynolds 2008). For instance, FLO, which has introduced a policy of certification for large-scale commercial farms and plantations, has encouraged multinational corporations (MNCs) to seek certification for their existing suppliers rather than work with more marginal and smaller-scale groups on the Fairtrade register to help them develop (Renard and Pérez-Grovas 2007, p. 150).[5] Also, there is no requirement for traders in the system to convert a certain percentage of their stock to Fairtrade, suiting large-scale brand manufacturers who have agreed to stock minimal amounts of Fairtrade relative to their overall volumes (Low & Davenport 2005; Fridell 2009). And, FLO does not define "long-term" in the contractual relations between traders and producers beyond the signing of contracts (Nicholls & Opal 2005). In fact, Raynolds' research of the Fairtrade coffee market suggests that producers often do not know the end buyer of their crop when they sell to conventional (as opposed to Fair Trade) traders. Finally, the system requires commitment only from companies that put the Fairtrade label on the product. However, retailers, who represent an increasing number of buyers in the system and the majority of sales of Fairtrade stock, *outsource* packing and labeling to other companies. This leaves retailers free to pursue a largely commercial agenda in Fairtrade production networks, including switching between Fairtrade producers, abandoning relationships with producers, and purchasing Fairtrade produce from the cheapest suppliers available (Barrientos & Dolan 2006, p. 18; see especially Barrientos & Smith 2007).

These examples and the way in which FLO and the LIs pursue change demonstrate a "resistance" response to market institutions. The relatively minor change to business-as-usual required of major businesses in the FLO system distinguishes the resistance response from game playing, which has more ambitious and radical change in mind (see below). As explained earlier in the article, the role of resisters in the process of social change is to take innovative yet marginal ideas of others and work to institutionalize them by seeking to engage with institutional actors, as a result of which "resisters often lose the argument and succumb to become a compliant citizen of the regulatory order over time" (Braithwaite *et al.* 2007, p. 292). While the pioneers who set up the initial system in the Netherlands had more radical expectations of this system, the resisters – FLO and the LIs – are seeking to only moderately modify existing institutions by institutionalizing a more market-friendly model of Fairtrade that is dependent on dominant retailers and manufacturers for growth. As Braithwaite points out, however, because of their desire to work

 © 2010 Blackwell Publishing Asia Pty Ltd

with institutional actors to make the system work better, this type of defiance becomes vulnerable to institutional "capture" (Ayres & Braithwaite 1992) and being placated by institutional actors (Braithwaite *et al.* 2007). While brand manufacturers have created the perception that they support the Fairtrade cause by stocking Fairtrade, in actual terms most have adopted a "minimalist" or "symbolic" form of support, stocking very small amounts of Fairtrade as part of their overall volumes and positioning Fairtrade as a new niche brand line in their range (Low & Davenport 2005; Fridell 2009). This response enables the company to tap into the rising value of Fairtrade in the market and create the perception or pretence that the company has reformed its practices (Low & Davenport 2005), while subverting the Fairtrade logo to a subsidiary brand of the MNC (Hutchens 2009).

While the relatively benign evolutionary trajectory pursued by FLO suggests that the actors in this institutional setting have "succumbed" to institutional pressures, this context has provoked several Fair Trade pioneers – who initially conceived and set up the system – to develop and launch new models of Fair Trade. The pioneers perceived that FLO's market-oriented approach was not proving to be an influential response or strategy for change and that new, more challenging models were needed.

> . . . [the brands] were designed to achieve a few things. One was – when we started Cafédirect, it was designed to give small-scale producers who had really worked *hard* to learn how to access the market, somebody to sell to, someone to call their own . . . Because you know that old adage "you can lead a horse to water but you can't make it drink"? The thing about Transfair and the [Fair]trade-marking models . . . [is that] the [Fairtrade] label made it possible for conventional companies to buy directly from small farmers and get some kind of reward for that . . . but it didn't make [conventional companies] *do* [Fair Trade] with many small-farmer organizations, especially the weaker ones with which they just didn't want to get involved. They tended to pick the ones that were more capable, more able. And that's not very developmental. (Tiffen 2005, unpublished data)

Several pioneers in the industry responded to market pressures differently to FLO; rather than become "allies" of mainstream traders, the pioneers in the market opted to "challenge" or test conventional traders and in effect play competitive games with them by changing the terms of competition:

> I always see it as a kind of challenge model, you have to challenge in order to get [others to change] . . . but if you want to challenge, you have to be able to move up [to the next stage of the "game"] yourself . . . your influence will diminish when the others are responding . . . from the moment you stop innovating you're already losing . . . if [FLO] don't become the innovators again – if they don't become the standard-setting initiative – they'll be forgotten and others will take their place . . . [FLO] is just one of the stakeholders [now], not the big guys setting the standards. (uit de Bosch 2005, unpublished data)

In this context, several pioneers in the Fair Trade market began to innovate in more radical models of Fair Trade that were positioned in the mainstream market rather than the traditionally "alternative" market distribution channels where they had begun with their political project many years ago (Tranchell 2005, unpublished data). These new models took the form of for-profit Fair Trade brands – ostensibly brand companies

© 2010 Blackwell Publishing Asia Pty Ltd

that exploited commercial and legal tools of marketing and branding and in which the producers were co-owners, board directors, and shareholders of the trading company.

While seemingly similar to other corporations in this sense, it is important to distinguish between a corporation's *form* and *function*. Berman's (1983) *Law and Revolution*, which studied the evolution of Western legal institutions and linked them to Western economic development, demonstrates that legal institutions, such as the corporate form, which is centuries old, change over time to perform different functions. With this distinction in mind, the Fair Trade movement's pioneers can be seen as exploiting the corporate form for the purpose of fulfilling the function of delivering social justice and economic empowerment for small scale farmers. As one pioneer described:

> Fair Trade is *absolutely integral* to [our] company . . . there would not be [our] company without our Fair Trade proposition and our fantastic farmers we work with. Whereas . . . [conventional companies] aren't companies that have been set up to do *Fair Trade*, they've been set up to do whatever it is they've been set up to do, and then they're doing something nice on the edge. And that is something with an *incredibly* different proposition . . . it's *so* different on every level, how you measure success is different, what the emphasis of your Executive and the skill base of your Executive is different . . . [as is] the idea that you *cannot* separate [Fair Trade] from what you are doing.

An example of an FTO brand company is AgroFair, a farmer-owned banana and fresh fruits company. Spread across Ghana, Ecuador, and Costa Rica, AgroFair fruit farmers and cooperatives own 50% of AgroFair's shares and profits; the other half is held by its non-governmental organization (NGO) and ethical investor partners (AgroFair 2006a,b).[6] New growers are offered company shares after a period of 12 months of trading with AgroFair. AgroFair producers gain direct experience and skills in value-added activities such as sales and marketing,[7] which can be seen as a stark anomaly in the banana sector. As one of AgroFair's pioneers described:

> With the traditional players [in the banana industry] you can see a trend: western companies are integrating the supply chain, getting closer and closer to the global South. They do not focus only on selling bananas – they also dominate production and logistics. What AgroFair is doing can be called "reverse supply chain integration:" the Third World producer is integrating the supply chain in his own interest. The producer is dedicated not only to growing product, but to organising logistics, and having . . . a voice and vote in the sales strategy. In contrast to normal opinion, AgroFair has shown that involving Third World producers in business structures, making them co-responsible for the marketing strategy, is a viable aspiration. (Roozen cited in Nicholls & Opal 2005, p. 91)

This novel enterprise has had much success in the banana sector in particular (its first product) with the Swiss retailer Coop, which sells 100% of its bananas as Fairtrade (to sell more Fairtrade bananas than any other supermarket retailer worldwide) (AgroFair 2004, pp. 4, 24). In 2004, AgroFair's turnover increased by 47% to €37.6 million, up from €25.6 million in 2003. In 2006, the company grew a further 40%, with a turnover of €62 million and a share dividend of €236,000 (half of which has gone to producers).

 © 2010 Blackwell Publishing Asia Pty Ltd

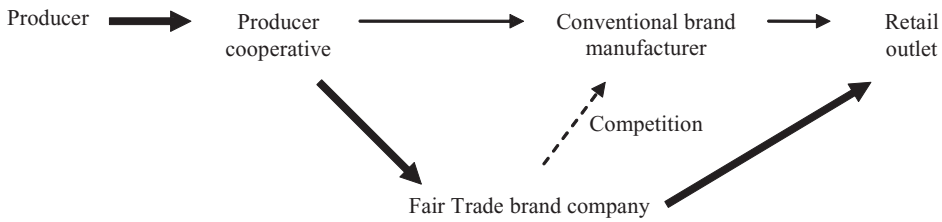

Figure 1 Pioneers' strategic response to conventional brands in the Fairtrade system: Fair Trade brands (adapted from Hutchens 2009).

Another example is Divine Chocolate Ltd, set up in 1997 primarily between Twin Trading and the Ghanaian cocoa cooperative, Kuapa Kokoo.[8] Kuapa Kokoo producers have Board representation and co-own the brand: 33% since 1997 and 45% since 2006.[9] Divine's mission is multiform: to "take a quality affordable range of Fair Trade chocolate bars into the mainstream chocolate market" and to "pay a Fair Trade price for all the cocoa used in the products." Positioned consciously among other mainstream chocolate bars in terms of price, quality, and availability, Divine aims to "raise awareness of Fair Trade issues amongst UK retailers and consumers of all ages" and "be highly visible and vocal in the chocolate industry and thereby act as a catalyst for change." Competing directly with major firms in the UK chocolate industry such as Cadbury and M&M/Mars, Divine Chocolate is available in 5,000 stores in the UK, including Sainsbury's, the Co-op, and Tesco supermarkets. It has also experimented with private own-label ventures with the UK's Co-op (for its entire own-brand chocolate) as well as Starbucks for all its own-brand chocolate. In 2003, the company reached profitability, and has continued to do so year on year. In 2006, with 18% growth, the company received a post-tax profit of more than £450,000, and after ten years of business, in 2007 the company made its first dividend of £500 per share (Martyn 2007).

The thinking behind farmer co-owned Fair Trade brands such as AgroFair and Divine Chocolate was to bypass conventional traders in the market and give producers direct access to mainstream retail, while also giving them more control over the intermediary trading organization that managed the process (Fig. 1). By empowering producers vis-à-vis the trading organization in these ways, Fair Trade brands sought to challenge conventional traders in their minimal commitment to and performance in Fair Trade, and to force them to move in a more radical direction.

In contrast with FLO and the LIs – the Fair Trade market's resisters – the pioneers of the Fair Trade brand companies can be seen as the market's game players. As discussed earlier in the article, in contrast with resistance, game playing involves ignoring and transcending existing regulatory codes, and inventing new rules and institutions to radically transform the prevailing system. The frontrunners in the Fair Trade market have responded to FLO's institutional weakness with new and more radical business models that seek to offer more independent and systemic models of empowerment for small producers.

> The future I see . . . is with these new ways of doing business that we're creating in the fair trade movement and with farmers, with new ownership structures of getting value back to poor farmers and communities and workers . . . Are [conventional] companies going to genuinely change because [our models are] the new way to do business, or are they going to become the dinosaurs of the future?

© 2010 Blackwell Publishing Asia Pty Ltd

The farmer-owned brand companies that are described in the above quotation in fact pose a more challenging threat than the certification model to the traditional business power structure defined by Northern corporate ownership and this innovative trajectory has proved more challenging for institutional actors to coopt. While superficially producer co-ownership of an international company does not seem significant, it is, in the context of the global agricultural trading system, rare and an ambitious political achievement. According to Braithwaite, the institutional response to game playing differs from the response elicited from resistance – game players keep their opponents "on their toes" and unable to turn their backs on the dynamic competitive tactics of the game player (Braithwaite 2009, p. 96). This is illustrated in the Fair Trade case by the reaction to farmer-owned Fair Trade brands from mainstream industry observers and traders, as pioneers described:

> . . . all the economists told us that it wasn't possible or economically viable, and that Fair Traders are a bunch of hippies who knew nothing about this . . . you can have this conversation with them and they'll tell you that it's *really* not possible. I have an easy discussion with them. I say "you see this Cafédirect product? That's what it does." (Tucker 2005, unpublished data)

> . . . when we started [with Equal Exchange], people in the industry, well pretty much everyone, said "you can't do what you're trying to do," so by demonstrating that it was possible and that we could actually survive and grow a business, we made what had seemed impossible seem possible. (Rosenthal 2005, unpublished data)

Rather than be intimidated by such criticism and skepticism,[10] the pioneers in the Fair Trade market are convinced that their alternative institutions of business are the "future" of international enterprise and that in this future, currently large-scale traders will be the "dinosaurs" (Tucker 2005, unpublished data). The pioneers' response to FLO and the LIs' perceived capture thus appears to be innovative and dynamic over time and provides the wellspring of ongoing entrepreneurship and change in the industry (Hutchens 2009).

7. Conclusion

The case of Fair Trade shows that isomorphic pressures have been only one strand or thread in the evolution of Fair Trade – more radical and agentic responses also exist and are pursued by *other* institutional entrepreneurs in the institutional setting. Game playing exhibits more significant and ongoing capacity for disruptive change and evolutionary survival than is suggested by the idea that actors typically "conform" to institutional pressures over time; in the case of Fair Trade, the market's pioneers (its game players) deliberately *evade* capture and institutional modification through thoughtful (re-) innovation. Their thoughtfulness – embodied in Fair Trade brand companies – has focused on overturning Northern corporate ownership of multinational brands to Southern small farmers; their radicalism has been of a political nature in transforming the power relationship between North and South in the multinational corporation. This process of (re-)innovation is a constant one for Fair Trade's pioneers lest their innovations become absorbed; no model is immune to the threat of capture. Nonetheless, defiance offers us a lens for capturing and understanding game playing in political governance and, in turn, the possibility of institutional change in global markets. Its

 © 2010 Blackwell Publishing Asia Pty Ltd

implication for the Fair Trade movement is that, if the movement is to survive, Fair Trade's growing expansion and consolidation must be coupled with growing amounts of entrepreneurship.

Acknowledgments

The author would like to thank Professors John Braithwaite and Valerie Braithwaite (RegNet, The Australian National University) and Professor Peter Drahos for comments on earlier drafts of this article.

Notes

1 To a greater or lesser degree each category of defiance represents a challenge to an institutional authority. Whereas commitment and capitulation are "cooperative postures," the postures of resistance, disengagement, and game playing are "enablers of defiance" and embody a desire to transgress, change, or defy the rules, practices, and norms of the institutional authority. In the context of institutional entrepreneurship, where "only individuals who somehow break with the rules and practices associated with the dominant institutional logic(s) . . . can be regarded as institutional entrepreneurs" (Battilana 2006, p. 257), the more defiant or disruptive categories of defiance – specifically resistance and game playing – are relevant.

2 Regulatory capture tends to refer to when a state regulatory authority, intended to serve the public interest, favors instead the vested commercial interests that are dominant in the industry or sector the agency regulates (Stigler 1971). The phenomenon can be found outside the political arena (Hanson & Yosifon 2003), such as among non-governmental organizations (NGOs), whose increased regulatory role over, and "closer relations with, business in an era of global capitalism risks NGOs' regulatory capture, cooptation and the dilution of [their] radical or alternative agendas" (Utting 2005, p. 382). In this article "capture" refers to a compromised regulatory relationship of some kind.

3 The "Doha Development Round" is the WTO's contemporary trade negotiation round, which commenced in Doha in 2001. Since then, Ministerial Meetings have been convened in Cancun (2003), Geneva (2004), Paris (2005), Hong Kong (2005), Geneva (2006), Potsdam (2007), and finally Geneva (2008).

4 In a conventional chain, a grower would receive only 7% of the chain value (US$0.31) and an intermediary buyer (rather than a grower cooperative) would receive around 8% (US$0.33).

5 While FLO agreed to limit certification of plantations to plantation-only commodities (such as tea) and not provide certification in commodity sectors where small-scale production still exists, FLO has begun to certify plantations alongside small-scale producers in the banana and tropical fruit markets (Renard & Pérez-Grovas 2007; Wilkinson & Mascarenhas 2007).

6 AgroFair's NGO and ethical investor partners include TWIN, CTM Altromercato, Solidaridad, VIVA Trust, and Triodos Innovation Fund (AgroFair 2006a).

7 AgroFair's FTO partners take responsibility for the day-to-day operation of sales and marketing in European, UK, Irish, and Italian markets. In 2006, AgroFair's Oké-labelled bananas gained market access in the US through a new Fair Trade company, Oké USA. Oké USA is owned by AgroFair, Equal Exchange (a US pioneer in Fair Trade coffee), and Red Tomato (a Boston-based non-profit organization that helps family farmers in New England to access markets, founded by co-founder of Equal Exchange). AgroFair farmers share ownership of the company's equity in addition to receiving Fair Trade minimum prices and premiums.

8 Other investors and partners or both included The Body Shop, SNV, Comic Relief, DFID, the International Cocoa Organization, and Christian Aid (Tiffen *et al.* 2004, p. 24). Until July 2006,

© 2010 Blackwell Publishing Asia Pty Ltd

The Body Shop held ownership of 14% of shares, and Kuapa Kokoo 33%. The Body Shop donated its shares to Kuapa Kokoo, which now owns 47% of the company.

9 In 2006 The Body Shop, a founding partner and shareholder in Divine Chocolate, decided to donate its shares to Kuapa Kokoo.

10 Munir and Phillips (2005) observe a similar "discursive" attack on innovations as incumbents perceive a threat of being made redundant. In their analysis of the emergence and evolution of the chemical-based photography industry, Kodak and others feel threatened by the advent of digital technology, giving rise to a "discursive battle" that, according to the authors, is more important than the technology itself in determining the effect of the technology on the industry: "it is the degree to which some institutional entrepreneur can manage the meanings of the technology and embed it in the everyday lives of potential consumers that determines how disruptive the technology will be" (Munir & Phillips 2005, p. 1683).

References

AgroFair (2004) The Oke Impact: 2004 Annual Report. [Last accessed 12 Jun 2009.] Available from URL: http://www.agrofair.nl/pages/view.php?page_id=318.

AgroFair (2006a) About AgroFair – Profile & Structure. [Last accessed 13 Jun 2009.] Available from URL: http://www.agrofair.nl/pages/view.php?page_id=320.

AgroFair (2006b) The Oke Impact: 2006 Annual Report. [Last accessed 12 Jun 2009.] Available from URL: http://www.agrofair.nl/upload/File/AgroFair_Annual_Report_2006_secure_ENG.pdf.

Audebrand L, Pauchant T (2009) Can the Fair Trade Movement Enrich Traditional Business Ethics? An Historical Study of Its Founders in Mexico. *Journal of Business Ethics* 87, 343–353.

Ayres I, Braithwaite J (1992) *Responsive Regulation: Transcending the Deregulation Debate*. Oxford University Press, New York, NY.

Bandura A (1989) Human Agency in Social Cognitive Theory. *American Psychologist* 44(9), 1175–1184.

Barratt Brown M (1993) *Fair Trade: Reform and Realities in the International Trading System*. Zed Books, London.

Barrientos S, Dolan C (eds) (2006) *Ethical Sourcing in the Global Food System*. Earthscan, London.

Barrientos S, Smith S (2007) Mainstreaming Fair Trade in Global Production Networks Fair Trade. In: Raynolds L, Murray D, Wilkinson J (eds) *The Challenges of Transforming Globalization*, pp. 103–122. Routledge, New York, NY.

Battilana J (2006) Agency and Institutions: The Enabling Role of Individuals' Social Position. *Organization* 13(5), 653–676.

BBC News (2008) World Trade Talks End in Collapse. [Last accessed 5 November 2010.] Available from URL: http://news.bbc.co.uk/2/hi/business/7531099.stm.

Beattie A (2008) Doha Trade Talks Collapse. *Financial Times* (London) 29 Jul. [Last accessed 10 January 2010.]

Berman H (1983) *Law and Revolution: The Formation of the Western Legal Tradition*. Harvard University Press, Cambridge, MA.

Bevir M, Rhodes R (2005) *Governance Stories*. Routledge, London.

Bezençon V, Blili S (2006) 'Fair Trade Channels: Are We Killing the Romantics?', *International Journal of Environmental, Cultural, Economic and Social Sustainability* 2(1), 187–196.

Bezençon V, Blili S (2009) Fair Trade Managerial Practices: Strategy, Organization and Engagement. *Journal of Business Ethics* 90, 95–113. [Last accessed 5 November 2010.] Available from URL: http://www.springerlink.com/content/g078j6747156h717=/?p=78f8b2254ac24653a251b2ff5da84474&pi=2.

 © 2010 Blackwell Publishing Asia Pty Ltd

Braithwaite J (1994) A Sociology of Modelling and the Politics of Empowerment. *The British Journal of Sociology* 45(3), 445–479.

Braithwaite V (2009) *Defiance in Taxation and Governance: Resisting and Dismissing Authority in A Democracy*. Edward Elgar, Cheltenham.

Braithwaite J, Drahos P (2000) *Global Business Regulation*. Cambridge University Press, Cambridge.

Braithwaite J, Makkai T, Braithwaite V (2007) *Regulating Aged Care: Ritualism and the New Pyramid*. Edward Elgar, Cheltenham.

Cauthorn R (1989) *Contributions to A Theory of Entrepreneurship*. Garland, New York, NY.

FLO (Fairtrade Labelling Organisations International) (2010) Our Vision. [Last accessed 5 November 2010.] Available from URL: http://www.fairtrade.net/our_vision.html.

Fergusson I (2008) World Trade Organization Negotiations: The Doha Development Agenda. [Last accessed 5 November 2010.] Available from URL: http://www.nationalaglawcenter.org/assets/crs/RL32060.pdf.

Fridell G (2004) The Fair Trade Network in Historical Perspective. *Canadian Journal of Development Studies* 25(3), 411–428.

Fridell G (2007) *Fair Trade Coffee: The Prospects and Pitfalls of Market-driven Social Justice*. University of Toronto Press, Toronto.

Fridell G (2009) The Co-operative and the Corporation: Competing Visions of the Future of Fair Trade. *Journal of Business Ethics* 86(1), 81–95.

Fridell M, Hudson I, Hudson M (2008) With Friends Like These: The Corporate Response to Fair Trade Coffee. *Review of Radical Political Economics* 40(8), 8–34.

Gereffi G (1994) The Organisation of Buyer-driven Commodity Chains: How U.S. Retailers Shape Overseas Production Networks. In: Gereffi G, Korzeniewicz M (eds) *Commodity Chains and Global Capitalism*, pp. 95–122. Praeger, Westport, CT.

Hanson J, Yosifon D (2003) The Situation: An Introduction to the Situational Character, Critical Realism, Power Economics, and Deep Capture. *University of Pennsylvania Law Review* 152, 129–346.

Hutchens A (2007) *Power, Entrepreneurship and Defiance: The Globalisation of the Fair Trade Movement*. PhD dissertation, The Regulatory Institutions Network, The Australian National University, Canberra.

Hutchens A (2009) *Changing Big Business: The Globalisation of the Fair Trade Movement*. Edward Elgar, Cheltenham.

Leca B, Battilana J, Boxenbaum E (2008) Agency and Institutions: A Review of Institutional Entrepreneurship. Working Paper, 8–96. [Last accessed 9 Sep 2009.] Available from URL: http://www.clibyg.com/dyn/files/knowledge_items/23-file/Boxenbaum_agency_institutions.pdf.

Littrell M, Dickson M (1999) *Social Responsibility in the Global Market: Fair Trade of Cultural Products*. SAGE, Thousand Oaks, CA.

Low W, Davenport E (2005) Postcards from the Edge: Maintaining the "Alternative" Character of Fair Trade. *Sustainable Development* 13, 143–153.

Low W, Davenport E (2006) Mainstreaming Fair Trade: Adoption, Assimilation, Appropriation. *Journal of Strategic Marketing* 14(4), 315–327.

Martyn T (2007) *Capturing the Intangible: Accessing Marketing Rents through Farmer-own Brands*. Masters dissertation, Faculty of Economics (Development Studies), London School of Economics (LSE), London.

Moberg M (2005) Fair Trade and Eastern Caribbean Banana Farmers: Rhetoric and Reality in the Anti-globalization Movement. *Human Organization* 64(1), 4–15.

Munir K, Phillips N (2005) The Birth of the "Kodak Moment:" Institutional Entrepreneurship and the Adoption of New Technologies. *Organization Studies* 26, 1665–1687.

Nicholls A, Opal C (2005) *Fair Trade: Market Driven Ethical Consumption*. SAGE, London.

© 2010 Blackwell Publishing Asia Pty Ltd

Oliver C (1991) Strategic Responses to Institutional Processes. *Academy of Management Review* 16(1), 145–179.

Oxfam International (2002) *Rigged Rules and Double Standards: Trade, Globalisation and the Fight against Poverty*. Oxfam International, Oxford.

Raynolds L (2008) Mainstreaming Fair Trade Coffee: From Partnership to Traceability. *World Development* 37(6), 1083–1093.

Raynolds L, Murray D, Wilkinson J (eds) (2007) *Fair Trade: The Challenges of Transforming Globalization*. Routledge, New York, NY.

Renard M-C (2003) Fair Trade Quality, Market and Conventions. *Journal of Rural Studies* 19, 87–96.

Renard M-C, Pérez-Grovas V (2007) Fair Trade Coffee in Mexico. At the Center of the Debates. In: Raynolds L, Douglas M, Wilkinson J (eds) *Fair Trade: The Challenges of Transforming Globalization*, pp. 138–156. Routledge, New York, NY.

Robbins P (2003) *Stolen Fruit: The Tropical Commodities Disaster*. Zed Books, New York, NY.

Shreck A (2005) Resistance, Redistribution, and Power in the Fair Trade Banana Initiative. *Agriculture and Human Values* 22, 17–29.

Smith J (2007) The Search for Sustainable Markets: The Promise and Failures of Fair Trade. *Culture and Agriculture* 29(2), 89–99.

Stigler G (1971) The Theory of Economic Regulation. *The Bell Journal of Economics and Management Science* 2, 3–21.

Tallontire A (2002) Challenges Facing Fair Trade: Which Way Now? *Small Enterprise Development* 13(3), 12–24.

The Economist (2007) Thinking Out of the Box: How African Cocoa-growers Are Moving Upstream into Chocolate. [Last accessed 5 November 2010.] Available from URL: http://www.economist.com/business/displaystory.cfm?story_id=8966366.

Tiffen P, MacDonald J, Mazmah H, Osei-Opare F (2004) From Tree-minders to Global Players: Cocoa Farmers in Ghana. In: Carr M (ed.) *Chains of Fortune: Linking Women Producers and Workers with Global Markets*, pp. 11–45. Commonwealth Secretariat, London.

Utting P (2005) Corporate Responsibility and the Movement of Business. *Development in Practice* 15(3–4), 375–388.

Vorley B (2003) *Food, Inc.: Corporate Concentration from Farm to Consumer*. IIED, London.

WFTO (World Fair Trade Organization) (2010) 10 Standards of Fair Trade. [Last accessed 5 November 2010.] Available from URL: http://www.wfto.com/index.php?option=com_content&task=view&id=2&Itemid=14.

Wilkinson J, Mascarenhas G (2007) Southern social movements and Fair Trade. In: Raynolds L, Murray D, Wilkinson J (eds) *Fair Trade. The Challenges of Transforming Globalization*, Routlege, New York.

 © 2010 Blackwell Publishing Asia Pty Ltd